

Sales Performance & Customer Segmentation

Business Insights Report — Data Analytics Internship

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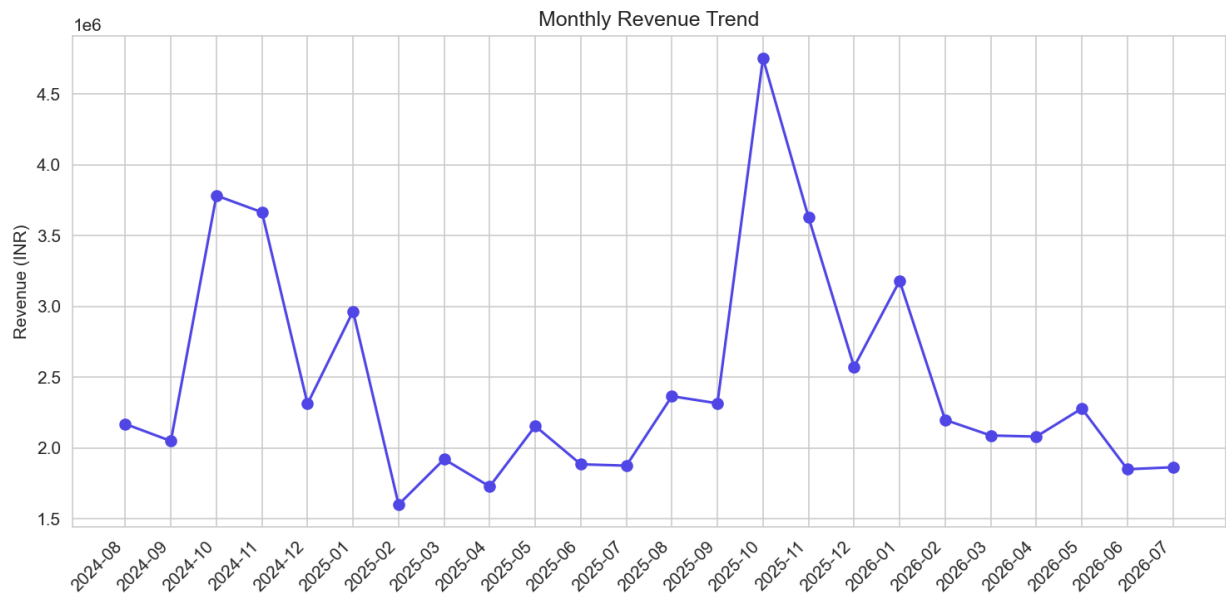
Executive Summary

This report analyzes 24 months of e-commerce sales transactions (Aug 2024 – Jul 2026) covering 5,755 valid orders from 777 unique customers across four regions of India. The analysis combines a Sales Performance study (revenue trends, product and regional performance) with a Customer Segmentation study (RFM analysis and K-Means clustering) to surface actionable, data-driven recommendations for revenue growth and customer retention.

Metric	Value
Total Revenue	Rs. 5,92,60,020 (~5.93 Cr)
Total Orders	5,755
Unique Customers	777
Average Order Value	Rs. 10,297
Return Rate	4.08%
Average Customer Rating	3.9 / 5

Revenue Trend

Revenue shows clear seasonality, peaking every October–November festive period and again in January new-year sales. The highest month on record is October 2025 at approximately Rs. 47.5 lakh.



Category & Regional Performance

Category	Revenue (Rs.)	Region	Revenue (Rs.)	Orders
Electronics	3,65,95,797	North	1,75,74,099	1,712
Home & Kitchen	1,02,81,254	West	1,44,53,703	1,403
Sports & Fitness	55,84,528	South	1,37,96,185	1,359
Fashion	42,25,946	East	1,34,36,033	1,281
Beauty & Personal Care	25,72,494			

Electronics dominates revenue (61.7% of total), led by Laptops, Wireless Earbuds and Smartphones. The North region is the top revenue contributor, followed closely by West, South and East — indicating a fairly balanced but North-leaning demand base.

Customer Segmentation (RFM Analysis)

Customers were segmented using Recency, Frequency and Monetary (RFM) features with K-Means clustering (k=4, chosen via the elbow method). Four distinct segments emerged:

Segment	Customers	Avg Recency	Avg Frequency	Avg Monetary	Total Revenue
Champions	242	57 days	15.3 orders	Rs. 1,64,488	Rs. 3,98,06,010
Loyal Customers	284	126 days	5.5 orders	Rs. 56,381	Rs. 1,60,12,162
At Risk	160	194 days	2.2 orders	Rs. 11,982	Rs. 19,17,176
Potential Loyalists	91	514 days	1.6 orders	Rs. 16,755	Rs. 15,24,671

Champions represent just 31% of customers but generate roughly 67% of total revenue — a classic Pareto pattern. At Risk and Potential Loyalist segments together account for 251 customers who have not purchased recently and are the priority targets for win-back campaigns.

Business Recommendations

- **Protect and grow Champions:** introduce a VIP/loyalty tier with early access and exclusive discounts — this segment already drives two-thirds of revenue from under a third of customers.
- **Convert Loyal Customers into Champions:** personalized upsell and cross-category bundles (e.g. Electronics + Home & Kitchen) can lift order frequency.
- **Win back At Risk customers:** time-boxed discount codes and reminder emails before the 194-day average recency window closes the door entirely.
- **Re-engage Potential Loyalists** with a second-purchase incentive — this group has only ordered once on average and needs a nudge to return.
- **Double down on Electronics in the North region** during Oct–Nov and January, when seasonal demand peaks by 60-90% over baseline months.
- **Investigate the 4.08% return rate** by category to identify and fix quality or sizing/fit issues before they erode margins further.

Methodology: Data was cleaned (duplicates removed, missing values imputed), analyzed in Python (pandas, matplotlib, seaborn, scikit-learn) inside Jupyter notebooks, and visualized in an interactive HTML dashboard. Full analysis code is available in the accompanying GitHub repository.